Optimal Dynamic Pricing With Preferences for Novelty

Tate Mason

The University of Georgia

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Motivation

- Firms have more access than ever to consumer information
- Allows for targeted discounting based on preferences derived from repeat interactions
- Despite legislation in the EU, data collected through a purchase is able to collected and stored by the firm (EU, 2026)

How valuable are repeated interactions to the firm?

Research Question

How can firms price discriminate via consumer preferences for novelty and habit?

How do I answer?

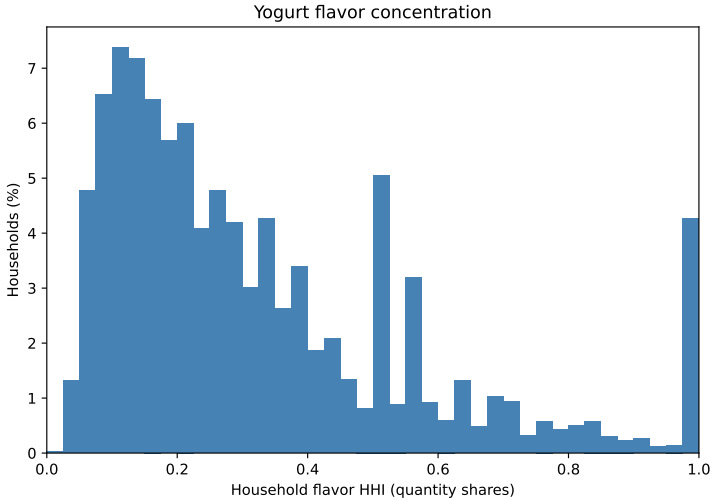
- Solve a theoretical model to understand firm's behavior
- Estimate consumer's preferences with Nielsen data, recovering the distribution of novelty/habit preferences
- Fit that distribution to the supply theory to understand how firm's revenues are impacted by this sort of targeting

Literature

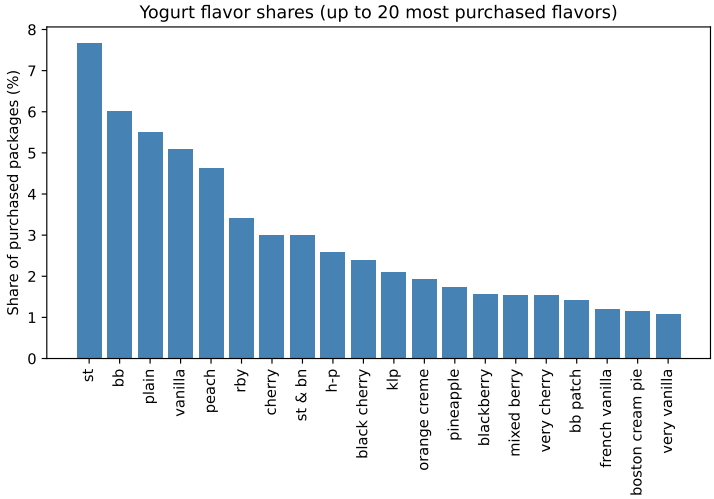
Targeting:

Estimating preferences for novelty:

HHI


Yogurt flavor concentration
Households (%)
0
1
2
3
4
5
6
7
0.0
0.2
0.4
0.6
0.8
1.0
Household flavor HHI (quantity shares)

Flavor Popularity



Supply Setting

- Monopolistic firm producing a single product j
- Firm is profit maximizing, setting prices according to that objective
- A consumer is born into the world with a type $r \in \{H, L\}$, determining how much utility they derive from switching and an initial state $h_0 \in \{0, j\}$
- Consumers live for two periods, purchasing the inside good or opting for the outside good in each period
- The firm knows initial states and types, setting prices to individual consumers by type and history

Consumer's Problem

$$V_{jt}^{inside} = \underbrace{\beta}_{\text{Constant}} + \overbrace{\gamma_r \mathbb{1}\{h=0\}}^{\text{Utilty from Switching}} - \underbrace{\alpha p_t(h)}_{\text{Price Disutility}}, \quad V_{0t}^{Outside} = \underbrace{\gamma_r \mathbb{1}\{h=j\}}_{\text{Utility from Switching}}$$

$$v_t(x) = V_{jt}^{inside} - V_{0t}^{outside} = \beta + \underbrace{\gamma[\mathbb{1}\{h=0\} - \mathbb{1}\{h=j\}]}_{q(h)} - \alpha p_t(h)$$

- Prices, set by the firm, and switching utility depend on history $h = x_{t-1}$
- Utility for the outside good is normalized to zero

Firm's Problem

$$\pi_t(h) = \max_{p_t(h)} s_t(h)[p_t(h) - c]$$

$$\Pi(h) = \underbrace{s_1(h)(p_1(h) - c)}_{\text{Margin in Period 1}} + \underbrace{\delta\{s_1(h)\pi_2(j) + (1 - s_1(h))\pi_2(0)\}}_{\text{Continuation Value}}$$

- Firm profits are comprised of period one margins, given history of consumption, and the value of that consumer in the different states in period two
- The firm will set prices according to consumer type and history to maximize expected profit

Optimal Terminal Price and Profit

$$\frac{\partial \pi_2(h_1)}{\partial p_2(h_1)} = s_2(h_1) + (p_2 - c)\frac{\partial s_2(h_1)}{\partial p_2(h_1)}$$

$$p_2^*(h_1) = c + \frac{1}{\alpha(1 - s_2^*(h_1))}$$

$$\pi_2^*(p_2^*(h_1); h_1) = \frac{s_2^*(h_1)}{\alpha(1 - s_2^*(h_1))}$$

- Optimal period two price is cost minus a demand markup term
- Period two profit at optimal prices is the odds of purchase, scaled by the inverse price sensitivity

First Period Optimization

$$\frac{d\Pi}{dp_1(h_0)} = s_1 + \frac{\partial}{\partial p_1(h)} s_1(h_0)[p_1(h_0) - c + \delta(\pi_2(j) - \pi_2(0))]$$

$$p_1^*(h_0) = c + \frac{1}{\alpha(1 - s_1^*(h_0))} - \delta(\pi_2(j) - \pi_2(0))$$

$$\Pi^*(h) = \delta\pi_2(0) + \frac{s_1^*(h_0)}{\alpha(1 - s_1^*(h_0))}$$

Optimal Profit Given Switching Type

$$\frac{d\Pi}{d\gamma} = \frac{q(h)s_1^*(h) - \delta s_1^*(h)s_2^*(j) + \delta(1 - s_1^*(h))s_2^*(0)}{\alpha}$$

- There are two interpretations:
  1. If $h_0 = j$, $q(h) < 0$, leading us to ambiguous signage as we raise profits from initially outside consumers but see opposing forces for the initially inside: leave in period one, return in period two
  2. If $h_0 = 0$, $q(h) > 0 \Rightarrow \frac{d\Pi}{d\gamma} < 0$, meaning that profits decrease as γ increases
- Points to firms potentially reaping great benefit from knowing consumer types and histories

Pricing Simulations Specification

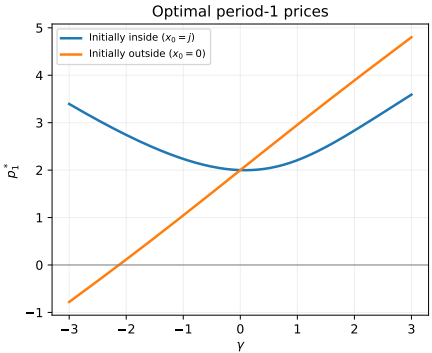
Parameter	Description	Value
β	Inside-good intercept	2
α	Price sensitivity	1
δ	Discount factor	0.92
c	Marginal cost	0
γ	Switching preference	$[-3, 3]$
Initial Consumption State		$h_0 \in \{0, j\}$
Feasible Prices		$p_t(h) \in \mathbb{R}$

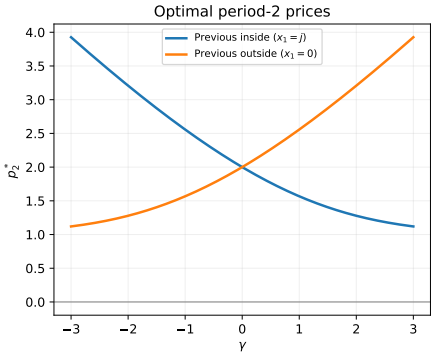
- Allow for negative pricing
- Firm has knowledge of both type and history, allowing for targeted pricing
- Four consumption histories possible $(h_0, h_1) \in \{(0,0), (0,j), (j,j), (j,0)\}$

Results

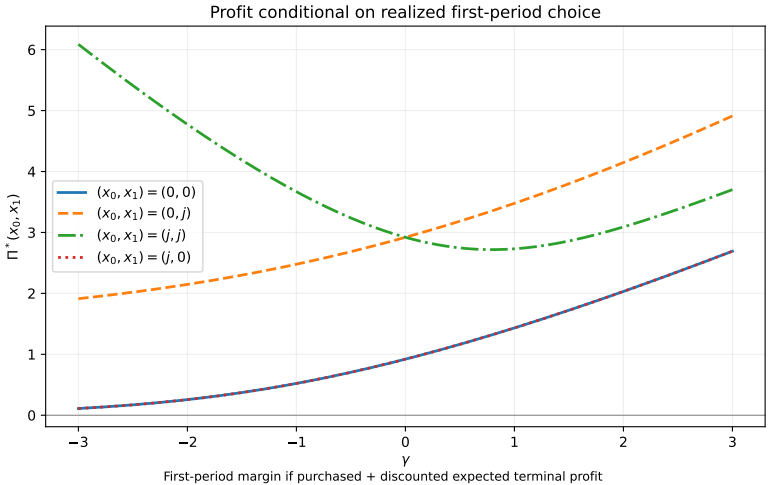
x_0	γ	p_1^*	$p_2^*(j)$	$p_2^*(0)$	Π^*	$\Pi^{*\prime}$
j	-3	3.395	3.926	1.120	5.087	-1.387
j	-1	2.236	2.557	1.567	2.669	-0.959
j	0	2.000	2.000	2.000	1.920	-0.500
j	1	2.209	1.567	2.557	1.731	0.125
j	3	3.592	1.120	3.926	2.702	0.668
0	-3	-0.780	3.926	1.120	0.913	0.195
0	-1	1.045	2.557	1.567	1.478	0.385
0	0	2.000	2.000	2.000	1.920	0.500
0	1	2.956	1.567	2.557	2.478	0.615
0	3	4.801	1.120	3.926	3.912	0.804

Optimal Prices

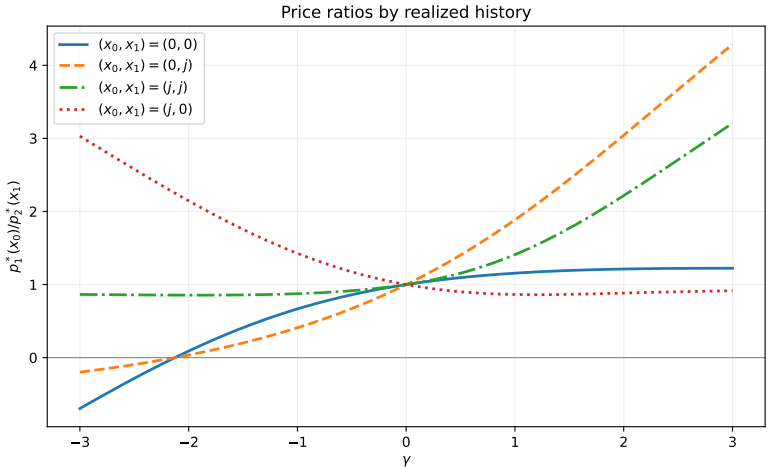




Optimal Profit



Optimal Price Ratio



Discussion

- Two mechanisms: Induce and harvest, Retain and gain
- Most profit from those who are habitual inside purchasers
- Least profit from those who purchase outside in period 1 across all levels of gamma
- Interesting when (j, j) and $(0, 0)$ cross

Data Sources

Nielsen HomeScan

- Provides household level purchase data
- Covers years 2006-2015
- Products chosen, quantity chosen, timing of trips

Nielsen RetailScan

- Provides store level product data
- For specified product category: prices, markets, product attributes

Sample Criteria

Sample Description

- Must be single-person household
- Must be seen at least 2 times
- Purchases must be made at Nielsen store (prices available)
- Flavor attribute must be present

INSERT SAMPLE COMPARE TABLE

Matched yogurt sample: purchase dynamics

metric	value
Matched households	15106.00
Observed yogurt purchase weeks	282648.00
Mean flavors bought per household	1.93
Mean household flavor HHI (0 to 1)	0.78
Mixed-flavor weeks (%)	17.45
Weeks above seven packages (%)	21.72
Eligible adjacent single-flavor week pairs	48166.00
Switch rate in eligible pairs (%)	12.85
Mean single-flavor spell length (consecutive calendar weeks)	1.22
Median gap between purchase weeks	3.00

Demand Setting and Objective

- Consumers can either purchase the inside good, a flavor of yogurt, or the outside good, not yogurt
- Define outside good as $\max(0, 7 - \sum_j x_{jt})$, following Nevo (2001)
- Consumers differ in preferences for novelty and price sensitivity, but derive the same base utility from the three flavor categories
- Goal: Recover distribution of novelty preferences

Demand Model

$$U_{ijt} = \overbrace{\beta_0}^{Constant} + \underbrace{\beta_j X_{jt}}_{\text{Flavor specific constant}} + \overbrace{\gamma_i(N_{ijt} - H_{ijt})}^{\text{Preferences for variety/habit}} + \underbrace{\alpha_i p_{jt}}_{\text{Price disutility}} + \overbrace{\varepsilon_{ijt}}^{\text{T1EV}}$$

$$\text{s.t. } N_{ijt} = \mathbb{1}\{x_{t-1} \neq j\},\ H_{ijt} = \frac{\sum_{t=1}^{t-1} \mathbb{1}\{x_{it-1} = j\}}{\sum_{t=1}^{t-1} \mathbb{1}\{x_{it-1} \neq 0\}}$$

- N_{ijt} represents a novel choice in the prior period, buying a flavor other than j
- H_{ijt} represents repeated purchase, the share of total purchases which flavor j comprises
- Normalize outside option to zero s.t. $U_i 0t = \varepsilon_{i0t}$

Probability and Shares

$$P_{ijt} = \frac{\exp\{V_{ijt}\}}{1 + \sum_{k \in J} \exp\{V_{ikt}\}}$$

$$\text{s.t. } V_{ijt} = U_{ijt} - \varepsilon_{ijt}$$

$$s_{jt} = \frac{1}{N} \sum_{n=1}^{N} P_{ijt}$$

- Use deterministic utility to form purchase probabilities
- Take average probability for product j across individuals $i \in N$ to recover shares

Estimation

$$P_i(\theta) = \int P(y_i \mid \nu, \theta)\ \phi(\nu)\, d\nu$$

$$\widehat{P}_i(\theta) = \frac{1}{64} \sum_{r=1}^{64} \prod_{t=1}^{T_i} P_(y_i \mid \nu_{ir}, \theta) \qquad \nu_{ir} \sim \mathcal{N}(0, I)$$

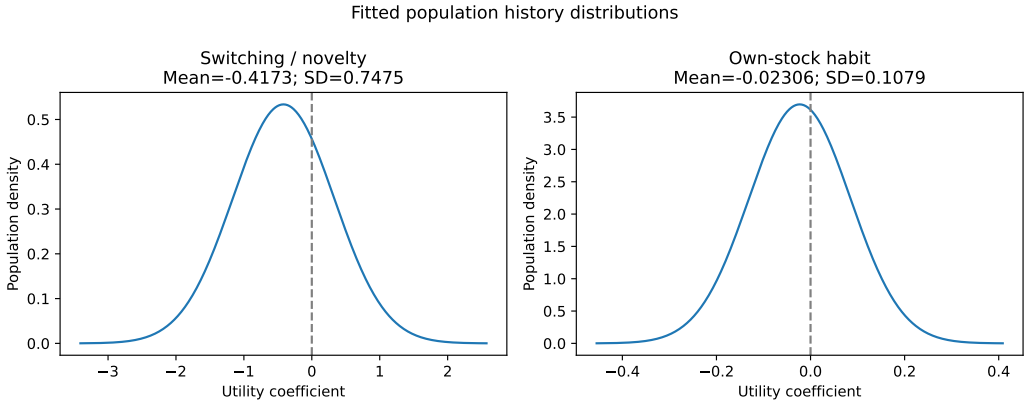
$$Q_{64}(\theta) = -\sum_{i=1}^{N} \log \widehat{P}_i(\theta)$$

- ν_i captures unobserved heterogreneity, y_{it} represents observed choice, $\theta = \{\beta, \gamma, \alpha\}$ is the vector of heterogeneous demand parameters
- 64 draws per household from a normal distribution
- 3 starts at different starting values, keep lowest objective
- Minimize negative log-likelihood

Estimates WTP

INSERT TABLE HERE

Distributions



Discussion

- small impact of variety on purchase probability
- how can firm use the utility from novelty to target pricing

Procedure

- Use initial purchase y_{i1} to determine "initial state", h_0
- Separate high and low types as the 75th and 25th percentiles, respectively
- Use observed prices and simulate discounts based on them, specific to the different types and their consumption path
- Focus on berry and plain to maintain parity with the theoretical model and avoid aggregate weighting
- Use coefficient on N_{ijt} to discriminate

Results: Berry Inside

INSERT FIGURE

Results: Plain Inside

INSERT FIGURE

Comparison

DISCUSS

Conclusion

INSERT RECAP AND CONCLUDE

Next Steps

- Add firm learning to supply side
- Extend market structure on supply
- Add more product attributes to empirical estimation
- Estimate unobserved quality in BLP fashion

Shares and Elasticities

$$s_t(h) = \frac{e^{v_t(h)}}{1 + e^{v_t(h)}}, \; s_{0t}(h) = 1 - s_t(h)$$

$$\frac{\partial s_t(h)}{\partial p_t(h)} = -\alpha s_t(h)(1 - s_t(h))$$

$$\frac{\partial s_t(h)}{\partial \gamma} = q(h) s_t(h)(1 - s_t(h))$$